Kitex Garments Limited
(CIN: L18101KL1992PLC006528)
Regd Office: Building No. VI/496, Kizhakkambalam,
Vilangu P.O, Aluva, Ernakulam – 683561, Kerala
Phone: 91 484 2585000, Fax: 91 484 2680604
Email: sect@kitexgarments.com
Website: www.kitexgarments.com

Ref: KGL/SE/2026-27/AUG/06

August 28, 2026

To,

BSE Limited 1st Floor, New Trading Ring, Rotunda Building, P J Towers, Dalal Street, Fort Mumbai, Maharashtra – 400 001 **Scrip Code : 521248**	**National Stock Exchange of India Ltd** Exchange Plaza, 5th Floor, Plot No.C/1, G Block, Bandra - Kurla Complex, Bandra (E), Mumbai, Maharashtra – 400 051. **Scrip Symbol : KITEX**

Dear Sir/ Madam,

Sub :- Disclosure of reasons for downward revision in credit rating

Ref :- Intimation of Credit Ratings dated August 27, 2026 pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our intimation dated August 27, 2026 regarding the revision in credit ratings assigned by India Ratings and Research Private Limited to the bank loan facilities of the Company aggregating to ₹3,479.80 million.

In accordance with the applicable provisions of Regulation 30 read with Para A(3) of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company hereby provides the reasons for the downward revision in the credit rating, as communicated by the Rating Agency .

Reasons for downward revision in rating:

"The rating downgrade reflects a significant dip in the group's profitability with subdued margins in FY26, mainly due to the partial absorption of US tariff-related costs, a slower-than-expected ramp-up in the Warangal unit, and delays in the execution of orders. This along with the impact of the recently completed large debt-funded capex for KAPL resulted in sharp deterioration in the consolidated credit metrics in FY26. Ind-Ra expects the net leverage (net debt/EBIDTA) to remain high from FY27, with gradual deleveraging in the medium term through term-loan repayments."

The above disclosure is being made to provide the reasons communicated by the Rating Agency for the downward revision in credit rating and is to be read in continuation of the Company's earlier intimation dated August 27, 2026.

A copy of the detailed rating rationale is enclosed.

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Kindly take the above information on records.

Thanking you,

Yours sincerely,

For **Kitex Garments Limited**

DAYANA JOSEPH
Digitally signed by DAYANA JOSEPH
Date: 2026.08.28 17:21:26 +05'30'

Dayana Joseph
Company Secretary & Compliance Officer

Enclosed: As above

India Ratings & Research
A Fitch Group Company

Title

India Ratings Downgrades Kitex Garments' Bank Loan Facilities to 'IND BBB+'/Negative/'IND A2'

Brief

India Ratings and Research (Ind-Ra) has downgraded Kitex Garments Ltd's (KGL) bank loan facilities' long-term rating to 'IND BBB+' from 'IND A' with a Stable Outlook and short-term rating to 'IND A2' from 'IND A1' as follows:

Details of Instruments

Instrument Description	Regulator of Instrument	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of Issue (INR million)	Rating Assigned along with Watch/Outlook	Rating Action
Bank loan facilities	RBI	-	-	-	3,479.8	IND BBB+/Negative/IND A2	Downgraded

Analytical Approach

Ind-Ra continues to take a fully consolidated view of KGL, a group company, Kitex Childrenswear Limited (KCL; 'IND BBB+'/Negative/'IND A2'), and KGL's subsidiary, Kitex Apparel Parks Limited (KAPL; KGL holds a 70% stake and KCL 30%; 'IND BBB'/Negative/'IND A3+'), jointly known as the Kitex Group, while arriving at the ratings, as these entities operate under the same management and have strong financial linkages.

Detailed Rationale of the Rating Action

The rating downgrade reflects a significant dip in the group's profitability with subdued margins in FY26, mainly due to the partial absorption of US tariff-related costs, a slower-than-expected ramp-up in the Warangal unit, and delays in the execution of orders. This along with the impact of the recently completed large debt-funded capex for KAPL resulted in sharp deterioration in the consolidated credit metrics in FY26. Ind-Ra expects the net leverage (net debt/EBIDTA) to remain high from FY27, with gradual deleveraging in the medium term through term-loan repayments.

The Negative Outlook reflects a likely delay in the ramp-up at the new Warangal (Telangana) facility, primarily due to the group's geographical concentration of clientele in the US amid the high tariff imposition on India.

The ratings reflect the Kitex Group's leading position in the infant garment export business and strong clientele. Also, the group's scale of operations is likely to improve gradually as the Warangal unit commenced operations on 15 September 2025. The construction of the Sitarampur unit, under KAPL, has been deferred, due to the need to stabilise operations at the Warangal unit, coupled with geopolitical uncertainties leading to demand headwinds in export markets.

The group has initiated geographical diversification in the European and Australian markets and has already onboarded marquee clients such as Hennes & Mauritz, as a majority of the group's clientele is concentrated in the US. The agency expects the group's EBITDA margins to improve from FY28, supported by a more diversified export client base along with the group's improving domestic presence, leading to the gradual ramp-up of operations at the Warangal unit. The group's ability to diversify its client base and ramp-up operations at the Warangal facility is a key rating monitorable.

However, the ratings are constrained by the group's exposure to raw material price volatility and forex risk. The FY26 numbers are provisional.

List of Key Rating Drivers

Strengths

- Strong business profile; operationalisation of Warangal unit
- Strong product profile; subdued margins in FY26 due to demand headwinds

Weaknesses

- Elevated credit metrics due to profitability dip
- High customer and geographical concentration
- Raw material price volatility; forex risk

Detailed Description of Key Rating Drivers

Strong Business Profile; Operationalisation of Warangal Unit: The Kitex Group has an operational track record of over three decades and is one of the leading exporters of infant garments in India. The company has established relationships with large, reputed international retailers, such as William Carter, Gerber, and The Children's Place LLC, leading to repeat orders. Furthermore, the group has recently added and is in the process of onboarding new major buyers from the European and Australian markets, including Hennes & Mauritz, providing medium-term revenue visibility in non-US markets. The newly established Warangal unit with a capacity of 160.35 million pieces under KAPL commenced operations on 15 September 2025, providing low-cost labour and easy availability of the key raw material (raw cotton).

Warangal unit's capacity utilisation is likely to improve from FY27, which was adversely impacted in FY26 due to the unfavorable global situation. Additionally, to mitigate the demand risk, Sitarampur project's capex has been put on hold, mainly due to geopolitical uncertainties and the need to stabilise the Warangal unit. The Warangal facility shall largely cater to demand from new geographically diversified client base and the group's existing customers, providing a fair revenue visibility for the incremental capacities.

Strong Product Profile; Subdued Margins in FY26 due to Demand Headwinds: The Kitex Group operates in the infant garments segment, which is a niche market in the textile industry. Infant garments require more focus on product quality and are highly customised, resulting in high value addition, and hence, healthy operating margins. Furthermore, the demand for these products is less affected by industry downturns compared to that for adult garments, as it is relatively less discretionary. The group's EBITDA margins deteriorated to 0.21%% in FY26 (FY25:20.3%; FY24:18.7%; FY23: 13.5%), mainly due to the operationalisation of the Warangal unit leading to high fixed costs and partial absorption of the US tariffs. The export incentives from the government of India also support the margins.

The agency expects subdued EBITDA margins in FY27, due to lower textile demand amid geopolitical uncertainties and partial tariff-related cost absorption. However, the margins are likely to improve slightly from FY27, supported by higher fixed-cost absorption and stabilising export market demand, backed by the group's geographical diversification efforts and expanding footprint in the domestic market. Additionally, KCL's merger of the textile business with KGL will help improve its overall operational efficiency.

Elevated Credit Metrics due to Profitability Dip: The group's gross interest coverage (operating EBITDA/gross interest expense) deteriorated to 0.03 in FY26 (FY25: 14.07x; FY24: 13.23x; FY23: 15.07x), due to increased interest costs and a significant dip in the absolute EBIDTA.

Additionally, the net adjusted leverage (adjusted net debt including letter of credit (LC)/operating EBITDAR) deteriorated significantly to 638.85x in FY26 (FY25: 4.23x; FY24: 4.24x; FY23: net cash), due to an increased term loan drawdown for the Warangal unit capex and losses in KCL and KAPL. Ind-Ra expects elevated net adjusted leverage in FY27 as well, due to a likely subdued operating performance. However, the net leverage is likely to moderate gradually over the medium term, led by scheduled debt repayments and a likely improvement in the absolute EBITDA. Additionally, the large debt-funded capex for the Sitarampur unit has been deferred, and its initiation with the funding mix of the project is a key monitorable. Also, given the long repayment tenure of the term loans from FY26, Ind-Ra expects the group's cash inflows to support timely servicing of debt, with the debt service coverage ratio estimated at around 1x over the medium term.

The timely servicing of interest and principal is a key rating monitorable. The project shall be eligible for the Telangana state government's incentives as additional liquidity cushion. However, the benefits have not been factored in for the purpose of the current assessment.

High Customer and Geographical Concentration: The group maintains longstanding relationships with large, reputed international retailers such as William Carter, Walmart, Sam's Club, Garanimals, Amazon, Gerber, and The Childrens Place LLC, leading to repeat orders, which support continued revenue visibility. The top five customers contribute almost 100% to the overall group revenue, although the concentration risk is somewhat mitigated by the counterparties having been associated with the company for more than 10 years. The group's sales to US-based customers accounted for about 64% of the total sales in FY25 (FY24: about 66%; FY23: about 70%), indicating a high geographical concentration. Furthermore, considering the US is one of the largest importers of apparels and the nature of the industry, the Kitex Group's concentration is likely to sustain over the medium term. However, the company is expanding its presences in the European and Australian markets to mitigate this risk; the group's ability to diversify its geographical mix is a key rating monitorable.

Raw Material Price Volatility; Forex Risk: The Kitex Group's margins are vulnerable to fluctuations in raw material prices; however, the company pass on some volatility to customers, albeit with a time lag as the pricing of the order book is done on a quarterly basis. Furthermore, the company mainly deals in the exports of infant garments and is exposed to fluctuations in forex rates based on its receivables from customers, which are mainly US-dollar denominated.

Liquidity

Adequate: The group's cash and cash equivalents improved to INR1,342 million at FYE26 (FYE25: INR535 million; FYE24: INR725 million; FYE23: INR494 million), primarily driven by the realisation of trade receivables. The average monthly utilisation of group's fund-based facilities was around 45% and that of the non-fund-based facilities was 37% for the 12 months ended July 2026, including the fund-based and non-fund-based limits of KAPL. Furthermore, the group has a longer tenor of repayment obligations with a ballooning repayment structure, which would lead to lower financial burden in the initial stages of operations. The group has debt repayment obligations of INR730.10 million in FY27 and INR1,252 million in FY28. The group intends to create a debt service reserve account for the principal and interest repayment obligations of a quarter, which will provide support in case of any shortfall. The company has also received sanction approval for a subsidy of INR424 million from the government of Telangana, which is likely to support liquidity.

The group's net working capital cycle improved to 95 days in FY26 (FY25: 169 days; FY24: 192 days; FY23: 184 days), due to a reduction in inventory days to 68 days (99 days; 142 days; 120 days) and receivable days to 58 days (114 days; 123 days; 143 days). However, creditor days reduced to 30 days (44 days; 72 days; 79 days).

The group has tied up all long-term loans of INR24,885 million for the ongoing capex at KAPL (INR9,702 million availed until September 2025). The group's combined free cash flow was negative at INR4,101 million in FY25 (FY24: negative at INR6,776 million; FY23: negative INR683 million), due to the ongoing capex started in FY22. Ind-Ra expects it to remain negative over the medium term, due to the planned capex and KAPL's increasing working capital requirements.

Rating Sensitivities

Positive: An improved geographical diversification, a successful ramp-up of the KAPL's capacity leading to significant improvement in the EBITDA margins in line with the agency's expectation, and an improvement in the working capital cycle, leading to a comfortable liquidity buffer, and visibility of the combined net adjusted leverage below 5x, on a sustained basis, could lead to a positive rating action.

Negative: A lower-than-expected ramp-up of the new asset's capacity, leading to an impact on the EBITDA margins, and/ or stretch in the working capital cycle with deterioration in the liquidity buffer, leading to the combined net adjusted leverage above 5x, on a sustained basis, could lead to a negative rating action.

Any Other Information

Standalone Performance: KGL recorded a revenue of INR5,917 million in FY26 (FY25: INR9,828 million; FY24: INR6,169 million), an EBITDA margin of 10.5% (20.34%; 16.61%), and an interest coverage of 3.85 (14.26x; 13.97x). The net leverage was 1.79x in FY26 (FY25: 0.64x; FY24: 0.29x).

About the Company

KGL is flagship company of the Kitex Group, which was incorporated in 1992. The company manufactures infantwear garments with an installed capacity of 129.60 million pieces at its Kizhakkambalam unit in Kochi, Kerala. The company is listed on the National Stock Exchange of India Limited and BSE Limited.

KCL, a part of the Kitex Group and incorporated in 1997, is owned by Sabu M. Jacob, who also serves as the Managing Director of KGL. The company specialises in manufacturing babywear garments—such as bodysuits, rompers, bibs, sleepwear, burps, and training pants—and operates with an installed capacity of 129 million pieces at its facility in Kochi, Kerala. KAPL, a 70% subsidiary of KGL with the remaining 30% held by KCL, was established in 2021 to set up a greenfield integrated textile manufacturing project across two locations: Kakatiya Mega Textile Park in Warangal and Sitarampur Industrial Park in Ranga Reddy district, Telangana, each with a planned capacity of 160.35 million pieces. The Warangal unit commenced operations on 15 September 2025, while the Sitarampur unit's operationalisation has been postponed.

Key Financial Indicators

Particulars (INR million) – Consolidated	**FY26 (Provisional)**	**FY25**	**FY24**
Revenue	8,330	12,443	8,273
EBITDA	17	2,531	1,551
EBITDA margin (%)	0.21	20.34	18.75
Interest coverage (x)	0.03	14.07	13.23
Net leverage (x)	638.85	4.23	4.24
Source: Company, Ind-Ra			

Applicable Criteria

- Corporate Rating Methodology
- Parent and Subsidiary Rating Linkage
- Short-Term Ratings Criteria for Non-Financial Corporates
- The Rating Process
- Evaluating Corporate Governance

Status of Non-Cooperation with Previous Rating Agency

Not applicable

Rating History

Instrument Type	**Current Rating/Outlook**			**Historical Rating/Outlook**	
	Rating Type	**Rated Limits (INR million)**	**Current Rating**	**27 January 2026**	**28 October 2024**
Bank loan facilities	Long-term/Short-term	3,479.8	IND BBB+/Negative/IND A2	IND A/Negative/ IND A1	IND A/Stable/ IND A1

Bank wise Facilities Details

IndiaRatings & Research
A Fitch Group Company

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Bank loan facilities	Low

For details on the complexity level of the instruments, please visit https://www.indiaratings.co.in/complexity-indicators.

Annexure

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Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance and leasing companies, managed funds, urban local bodies and project finance companies.

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